

Product Risk Disclosure

ASEAN Renewable Energy Corp - Green Corporate Bond (ISIN: USGRN0032025)

Prepared for RHB Malaysia Bank Wealth Customers

Date: 2-Sep-2025

Executive Summary

This Risk Disclosure Document (RDD) has been prepared to assist investors in understanding the potential risks associated with investing in the ASEAN Renewable Energy Corp Green Corporate Bond (“the Bond”). It is important that investors carefully review these risks and consult with their Relationship Manager (RM) or financial advisor before making an investment decision.

Investment in bonds carries inherent risks. While fixed income instruments may appear relatively secure, they are not risk-free. This disclosure outlines both general and bond-specific risks that may materially impact returns.

Indicative Terms & Conditions

ISIN	USGRN0032025
Issuer	ASEAN Renewable Energy Corp
Bond Type	Green Corporate Bond
Coupon	5.25% p.a. (Indicative)
Maturity Date	20-Sep-2027
Denomination	USD 500,000 minimum

Key Risk Categories

Credit Risk

- The issuer, ASEAN Renewable Energy Corp, may face financial difficulties that could impair its ability to make timely coupon or principal payments.
- Although the issuer operates in the renewable energy sector with government support, business failures or project delays may adversely impact repayment ability.

Market Risk

- Market conditions, including interest rate movements, credit spreads, and global economic shifts, may affect the market price of the bond.
- Rising interest rates generally lead to falling bond prices.

Liquidity Risk

- Secondary market trading volume for ASEAN Green Corporate Bonds may be limited.
- Investors may face difficulties selling the bond prior to maturity without incurring a loss.

Currency Risk

- The bond is denominated in USD. Non-USD investors are exposed to currency fluctuations.
- Any depreciation of the investor's local currency against USD will increase effective investment cost.

ESG & Green Bond Certification Risk

- Although classified as a green corporate bond, regulatory interpretations of "green" may evolve.
- Misalignment with environmental standards could affect reputation and secondary market demand.

Risk Scenarios

Adverse Credit Event

If ASEAN Renewable Energy Corp defaults on coupon payments due to project underperformance, investors may face a partial or total loss of invested capital.

Interest Rate Shock

If U.S. Treasury yields rise significantly, the bond's market price may fall, reducing resale value before maturity.

Liquidity Freeze

In a stressed financial market scenario, such as a global credit crisis, investors may not find willing buyers.

ESG Compliance Breach

If external auditors find that project funds were misallocated to non-green activities, the bond's "green" designation could be revoked, impacting its demand and valuation.

Regulatory & Legal Risks

- Changes in ASEAN or U.S. bond regulations may affect investor rights.
- In extreme cases, cross-border regulatory conflicts may delay enforcement of investor claims.

5. Investor Suitability

This product is suitable for:

- High-net-worth individuals (HNWIs) and institutional investors.
- Investors with moderate to high risk tolerance.
- Investors seeking USD-denominated assets with an ESG orientation.

This product is not suitable for:

- Investors requiring guaranteed returns.
- Investors with low risk appetite or short-term liquidity needs.

6. Declarations

By reviewing this document, the investor acknowledges that:

- The investment carries risks, including potential capital loss.
- The bank and RM have disclosed all material risk factors.
- The decision to invest is voluntary and based on independent judgment.